DISRUPTION INVESTOR

August 2025

The huge winner from the robotaxi race

A decade ago, the most coveted piece of real estate in Manhattan wasn't a penthouse overlooking Central Park or a trendy loft in SoHo.

It was a three-by-five-inch slice of aluminum riveted to the hood of a yellow cab.

A yellow cab taxi medallion was more than just a license. It was a golden ticket, a retirement plan on wheels.

NYC strictly capped the number of medallions, creating a government-enforced monopoly that seemed unshakeable for decades. Prices marched ever upward. In 2013, a single medallion changed hands for more than $1.2 million.

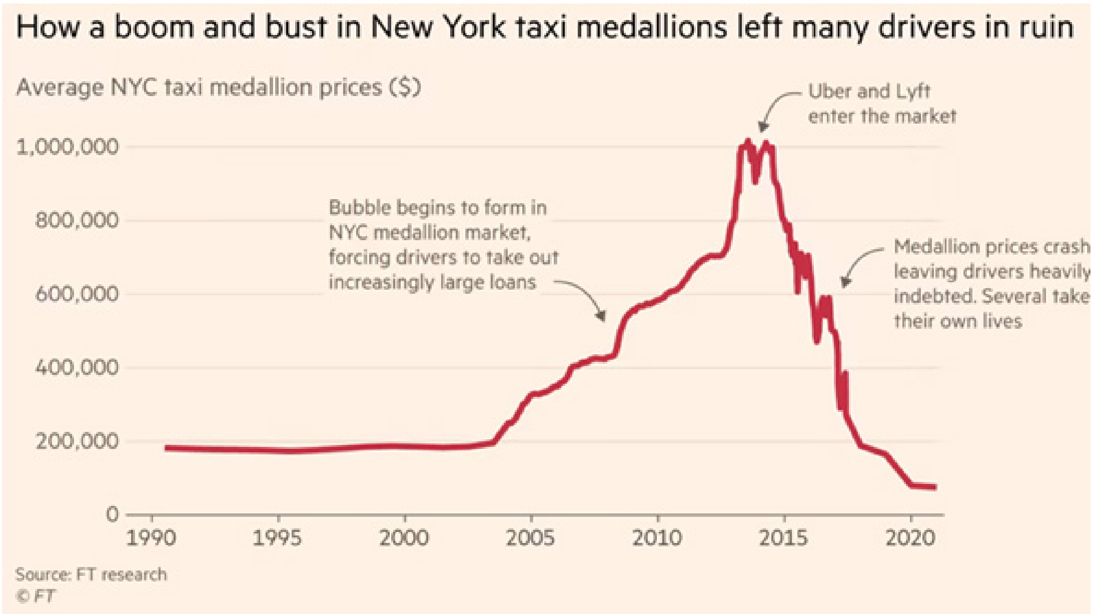
In this month's issue

Key prices

S&P 500	6,299.19
1-Month (Gain) +1.72%	
Nasdaq	20,916.55
1-Month (Gain) +3.51%	
Russell 2000	2,225.67
1-Month (Gain) +1.28%	
Dollar Index	98.77
1-Month (Gain) +1.77%	
US 10-Year Yield	4.237%

A *RiskHedge* Publication

Five years later, that same million-dollar asset was worth less than a used Honda. In the span of about 1,800 days, a nest egg built over a lifetime collapsed 90% in value:



Source: FT Research

What happened?

Two guys, Travis Kalanick and Garrett Camp, couldn't get a cab on a rainy night in Paris. Then they had an idea. *"What if you could press a button on your phone and have a car appear?"*

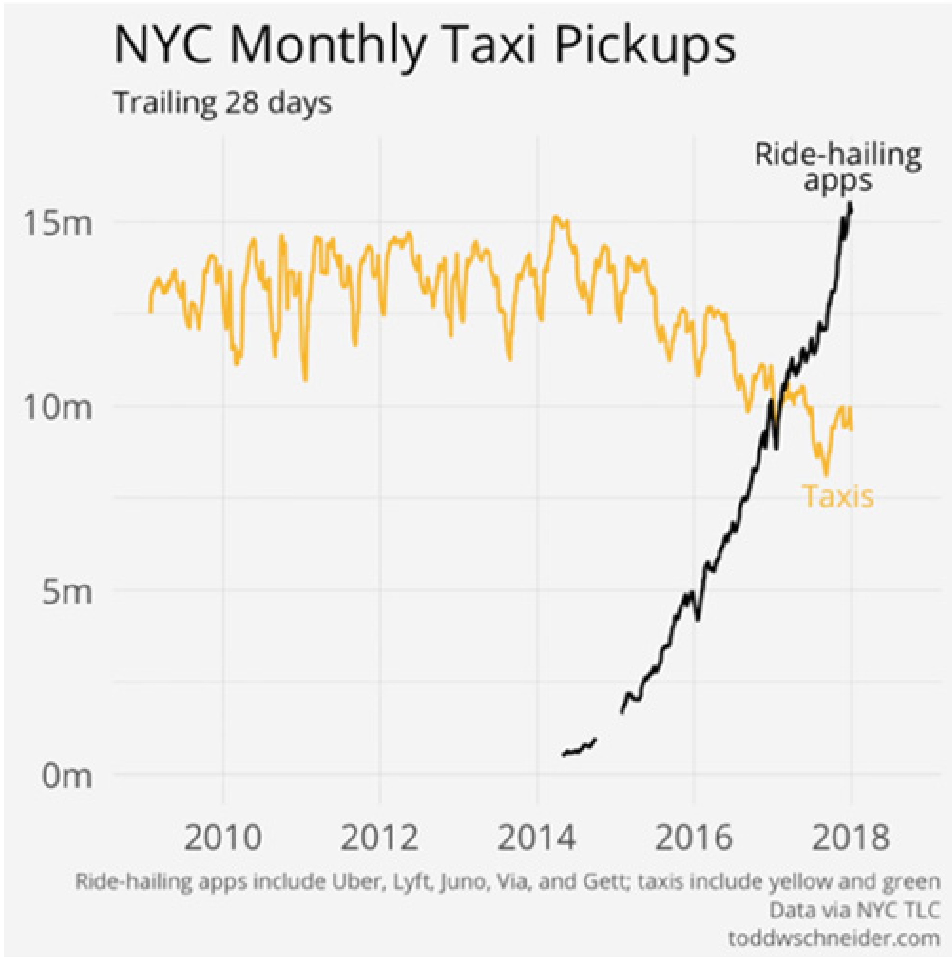
They called it **Uber Technologies (UBER)**.

When Uber launched in New York in 2011, it felt like magic. No more standing on a street corner trying to flag down a cab. Just tap on a screen and the car will come to you.

The data tells the story of the slaughter that followed. For years, the number of yellow cab pickups was a stable, predictable line. Then, in 2015, a new line appears on the chart: ridesharing apps.

It starts as a blip, then curves upward and goes vertical. By February 2017, the black line of app-based rides crossed the yellow line of taxi pickups.

Just 10 months later, app drivers were hauling 65% more passengers each month than every yellow cab combined. A decades-old monopoly was smashed almost overnight.



Source: Todd W. Schneider

Today, the thought of hailing a taxi in any city wouldn't even cross my mind. Uber is my best friend when I (Stephen) am on trips.

The six words I mutter to myself every time I come back from a business trip are…

"You don't own enough Uber stock."

I just returned from a whirlwind week in Austin and Detroit, where I met startup founders and entrepreneurs in exciting areas like robotics, nuclear tech, and supersonic flight.

I must have spent $500 on Uber rides, zig-zagging between meetings.

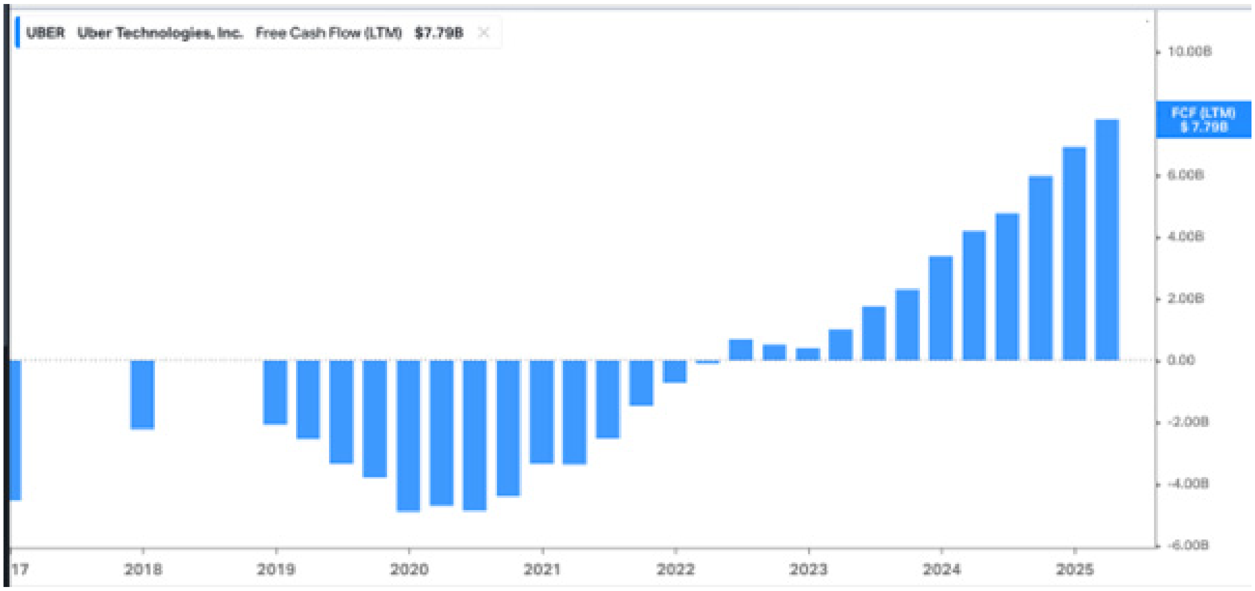
I took an Uber to the airport. Then another to my hotel. Meeting across town? Uber again. It's the default. No thinking, no comparing. Open the app, tap, go. I was practically living in the Uber app.

No complaints. Uber has always been a phenomenal service. Now, it's becoming a great business.

Uber lost $32 billion before it turned a profit, as this chart shows:

Source: Chartr

You can clearly see the moment Uber shifted from just a great product to also a great business. The profit engines are firing!



Source: StockCharts

Another reason I love Uber is…

It's a "live disruptor."

Live disruptors are companies that can do things they've never done before. They can go off-script. They can move into new territory.

Whereas *dead disruptors* operate on autopilot. They follow a script, manage what already exists, and avoid real risk.

Uber is a live disruptor. It plays to win.

This is a company that's reinvented itself multiple times in full public view. It started as a luxury black car app for Silicon Valley elites. Then it exploded into a global taxi replacement. It fought city governments tooth-and-nail, outmaneuvered entrenched taxi unions, and rewrote local transportation laws in country after country.

The Uber of 2025 is not just a ride-hailing company. It's a logistics operating system for the real world. It moves people, food, medicine, groceries, and packages around the globe.

And as Chris will explain, it's fast becoming a huge winner from the robotaxi race.

Unlike most companies its size, Uber is not a bureaucratic zombie. Its culture still rewards initiative. And it's hiring exceptional people who want to build, not manage decline.

That's a key "tell" if a company is a live disruptor. "Game recognizes game." Live disruptors don't waste their careers on dead institutions.

Why does any of this matter?

Because live disruptors shape the future and routinely create huge sums of wealth for investors.

Uber is a live disruptor. It's not obvious what it'll look like in five years, but it'll look different. That's the point.

I know Chris is eager to tell you how we're going to profit from Uber, so I'll hand the baton off to him now…

The ultimate self-driving car stock

Self-driving cars might seem like a threat to Uber's business.

After all, in a world where cars drive themselves, the companies that *own* those cars could sell rides directly to passengers through their own apps—*and* undercut Uber on price—because they wouldn't have to pay human drivers, who take home 70%–80% of every Uber fare.

That's why some Wall Street analysts have called self-driving cars a "clear competitive threat" to Uber.

I can understand why some folks see things this way. But I think they have it backwards.

Let me explain…

Imagine you own a fleet of self-driving cars (otherwise known as autonomous vehicles, or AVs). Whether you built them from scratch or bought them from someone else, you've already sunk a sizable fortune of other peoples' money into acquiring them.

Now, the clock is ticking to make money from your fleet.

You need to generate enough revenue (and fast) to cover regular expenses like storage, cleaning, maintenance, repair, fuel, and insurance… ***AND*** pay back your lenders and/or provide a return to your investors.

To monetize your fleet, are you going to:

A) Take the time, money, and risk to develop and market your own smartphone app… And hope enough folks buy rides on it before fleet expenses pile up and force you to sell your cars at a loss just to avoid defaulting on your loan? Or…

B) "Plug in" to an existing platform with zero upfront costs and a couple hundred million regular users who already trust it?

Option "B" isn't just a no-brainer. It will be a business imperative for most self-driving car companies.

And most will choose Uber's platform.

Today, 170 million folks throughout the world use Uber at least once a month for ridesharing or food delivery. That figure is up 14% from the 149 million unique monthly active users Uber had at this time last year.

Uber's closest competitor, **Lyft (LYFT)**, ekes out a comparatively miniscule 24 million active users per month. That's less than one-seventh the number Uber serves.

Meanwhile, Uber's platform has already reached critical mass where the "network effect" takes hold.

Drivers gravitate toward Uber because there are more riders than on other platforms. Riders default to Uber because there are more drivers and faster pickups. This attracts more drivers, and the user base snowballs.

We can see the effects of this network effect in the company's operating results. More people are using Uber than ever before—and they're using it more frequently, too.

As I mentioned, monthly active platform users increased 14% year over year in the most recent quarter. But the number of trips taken grew even faster, at 18%. Uber handled 3 billion rides in the first three months of 2025 alone.

And the strength of this network effect is further enhanced because of Uber's data.

Uber's spent about 15 years building and refining its ride-hailing platform to seamlessly match riders with drivers in hundreds of cities around the world.

During this time, the company's amassed a treasure trove of detailed data from billions of trips—data about travel times, traffic patterns, rider demand at various hours, dynamic pricing, and efficient routing.

All this data feeds Uber's software, constantly improving how the platform matches riders to the nearest driver. And how it sets fares through supply-and-demand-based pricing—enhancing the network effect's virtuous cycle.

More trips provide more data, which helps Uber optimize efficiency and pricing, which in turn attracts more riders and drivers because the service is fast and reasonably priced (typically).

As Uber's user base and engagement keeps strengthening over time, it becomes increasingly difficult for any new platform (human-driven or autonomous) to establish a foothold in the market and take share from Uber.

Meanwhile, Uber appears to be the only near-term solution for a big problem all standalone self-driving car companies or robotaxi operators will face: efficiently matching supply and demand.

As you know, demand for rideshare services isn't constant. It ebbs and flows throughout the day and night. Lots of folks want rides during the morning and evening rush hours, for example, but demand drops during other parts of the day and night.

Millions of human drivers are on Uber's platform, but they can log on or off whenever they like. Thanks to pricing incentives, which raise rates when demand is higher, Uber's platform naturally encourages more drivers to log on at busy times and some to log off when demand is lower.

A self-driving car company or robotaxi operator doesn't have this flexibility. If one of these companies wants to ensure it can serve the rush hours, it needs a large fleet of vehicles. But that fleet's going to be underutilized during other times of the day.

In other words, building enough self-driving cars to cover peak demand means you'll have a lot of expensive cars sitting idle for much of the day. But on the other hand, building a smaller fleet just to try to satisfy average demand means frustrating customers with long wait times or unavailability during peak times.

As Uber CEO Dara Khosrowshahi recently said:

> Even the lowest-cost AV fleet will struggle to generate revenue if its vehicles are not highly utilized. And even a well-utilized but fixed fleet will struggle to meet consumer demand at peak times.

Uber's platform naturally solves this problem. Human drivers fill in the gaps and handle overflow demand whenever AV fleets reach their limits.

So by partnering with Uber, AV companies can rely on Uber's network to ensure their vehicles are as busy as possible when they're in service… and let Uber's human drivers handle surges beyond what their fleets can handle.

This approach benefits Uber in a big way, too, because its biggest expense is human drivers. When you pay for a ride with Uber, the company only takes about 20%–30%. The bulk of the fare goes to the driver.

When an AV handles a ride, there's no human driver to take 70%–80% of the fare. Of course, there are still costs like maintenance, storage, and fuel associated with the AV. And fleet owners and operators will want to take as much of each fare as possible to cover those costs and earn a profit.

But plugging into Uber's platform and getting access to its network creates so much value for these AV owners that both sides are incentivized to negotiate mutually beneficial take rates. And a higher portion of each fare should remain for Uber when the costly human element is taken out of the equation.

That's why Uber wants to become the go-to platform for robotaxis, regardless of who makes the actual self-driving car.

AVs will reduce Uber's costs and boost its revenue and profits.

The app at the center of robotaxi domination

As Stephen said earlier, Uber's a "live disruptor" that's already reinvented itself multiple times. And it's now reinventing itself once again to become the ultimate self-driving car stock.

Investing in Uber today is like investing in the marketplace that most self-driving cars will use. And the company's jump from ridesharing disruption to robotaxi domination is happening now.

Uber already has 18 partnerships with AV tech developers and automakers, with new partnership announcements coming every few weeks.

In Austin, Texas, and Atlanta, Georgia, for example, the only way to get matched with a **Waymo** robotaxi is through Uber's platform.

Uber's July 2025 deal with China's **Baidu (BIDU)** will give customers in the Middle East and Asia (outside of mainland China) access to thousands of Baidu's Apollo Go AVs through Uber's platform in the coming years, with the first rollouts expected by late 2025.

Baidu is often called "China's Google." It's a tech giant that's throwing massive amounts of money at everything from artificial intelligence to AVs.

In early May, Uber inked a deal with startup **May Mobility** to deploy thousands of May's AVs on Uber's network in the US over the coming years, with initial rollouts in Texas by the end of 2025.

Uber also recently expanded its strategic partnership with **WeRide (WRD)**—another leading Chinese AV company—to 15 additional cities outside of the US and China following a successful launch in Abu Dhabi.

Autonomous tech company **Pony AI (PONY)** and Uber inked a partnership a few months ago to launch Pony AI's robotaxis on the Uber platform in "a key market in the Middle East later this year," with a plan to launch in additional international markets in the future.

That's just a sampling of the deals Uber's been able to ink in the self-driving car space. But you get the idea.

Uber's already doing what I've been talking about—leveraging its network and data to cut costs and juice revenue and profits by partnering with AV companies and plugging these vehicles into its platform.

It's another smart move in a list of many made by CEO Dara Khosrowshahi over the years.

As Stephen alluded to earlier with his "Uber's Long Road to Profitability" chart, Uber was a bad business in its earlier years, burning cash like crazy.

But Khosrowshahi changed all that after taking the reins from Uber co-founder Travis Kalanick in late August 2017.

That year, Uber burned $1.9 billion in cash and reported a net loss of more than $4 billion.

In 2024, Uber reported positive net income of $9.9 billion and free cash flow of $6.9 billion. What a turnaround!

Meanwhile, in the past year, Uber generated $45.4 billion in revenue, which reflected annual growth of 17.6%. And the company produced Real Cash Flow of $5.9 billion in the same period, which was good for 168% growth.

In Uber, we get a company that's already an essential service for tens of millions of people every day, has proven profitable in its core operations, and is set to *benefit greatly from*—rather than be disrupted by—self-driving cars.

By buying Uber today, we're essentially declaring: No matter who builds the best self-driving cars, the rides will still largely be hailed on Uber.

Action to take: Buy Uber Technologies (UBER) at current market prices and set a 35% hard stop.

An update on Ethereum (ETH)

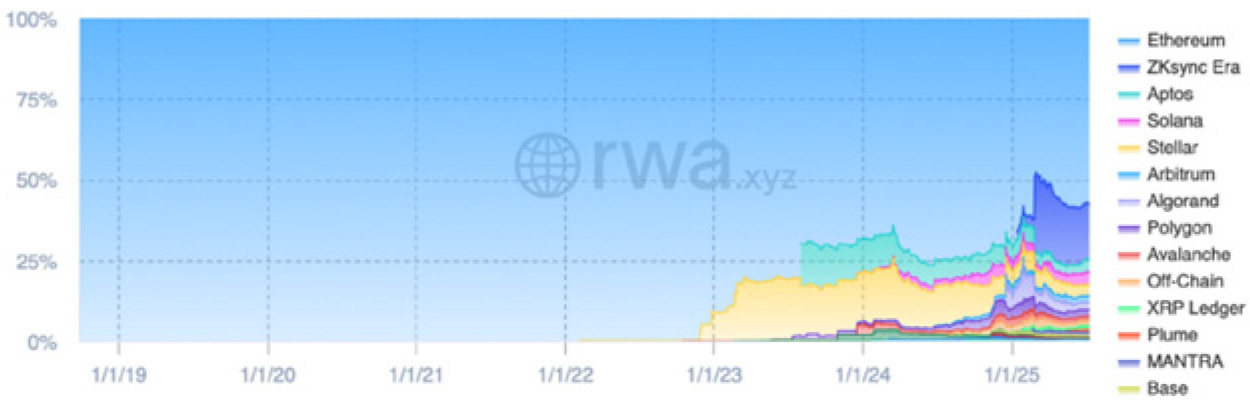
Stephen again. I wanted to share a quick update on our crypto holding **Ethereum (ETH)**, which has been on a tear lately.

It's up 43% in the past month alone, and I think it's just getting started...

As I explained in my latest issue of *RiskHedge Venture*, Wall Street's march into crypto is finally happening. And right now, one of the big trends I'm really focused on is tokenization, which promises to convert the value of any asset in the world into a digital token that can be owned, traded, and managed on a global, open network.

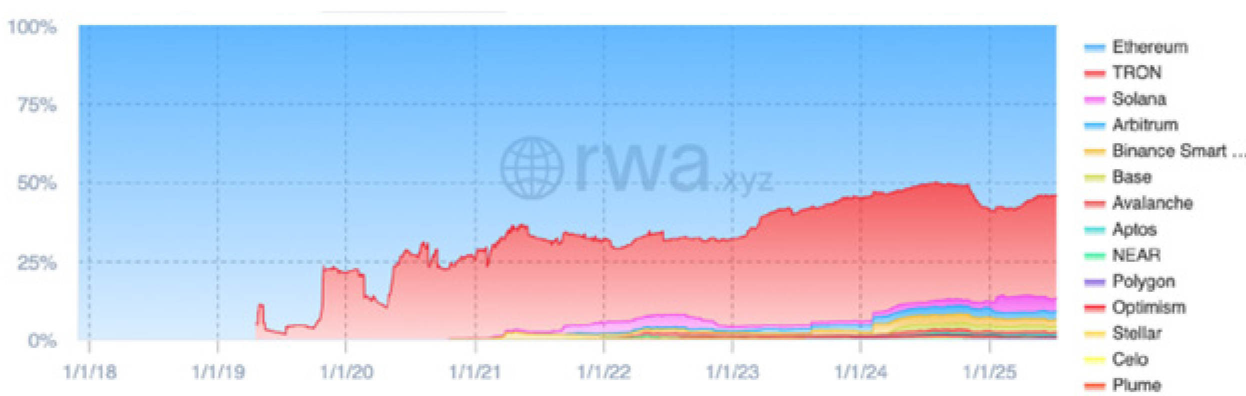
ETH dominates tokenization today.

Close to 60% of tokenized bonds, treasuries, private credit, and commodities settle on ETH:



Source: rwa.xyz

ETH is also where the majority of stablecoin (tokenized dollars) transactions happen:



Source: rwa.xyz

With **Robinhood (HOOD)** building its tokenized stock platform on Ethereum, it'll likely dominate this sector, too.

Here's a list of companies building on Ethereum: Stripe, Fidelity, **PayPal Holdings (PYPL)**, **Visa (V)**, **JPMorgan Chase & Co. (JPM)**, **Mastercard (MA)**, and **Shopify (SHOP)**.

Ethereum is quietly becoming the new global settlement layer. I expect Ethereum's revenues to rocket higher as it becomes Wall Street's favored way to launch crypto products.

It's a buy, and I can see it hitting $10,000 this cycle (about a 180% gain from here).

But while Ethereum provides the bedrock of this new financial world, the real action happens one level up. And this is where the smaller, lesser-known cryptos we own in *Venture* will really thrive.

I wrote all about in my latest issue. If you'd like to join us in *Venture*, now's an ideal time as we're running a special discount that ends next week. Go here for more details.

Several of our holdings will report earnings before the next *Disruption Investor* publishes on September 4. Here's a rundown on the upcoming earnings releases:

- **Palo Alto Networks (PANW):** August 18
- **CrowdStrike Holdings (CRWD):** August 27
- **Nvidia (NVDA):** August 27
- **Zscaler (ZS):** September 2

Please note that the dates listed above are subject to change.

And for the most up-to-date guidance on our current positions, click here to view the portfolio online.

Chris Wood Stephen McBride

Chris Wood and Stephen McBride

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